PROFITNITIAI

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1. Liquidity Analysis

Current Ratio trending and alerts

April 2024: 1.16 (1,314,465,308.33 / 1,129,984,168.41)

May 2024: 1.15 (1,048,099,415.52 / 910,113,204.75)

Trend: Current ratio remains stable around 1.15-1.16, indicating adequate short-term liquidity. However, the ratio is relatively low, suggesting limited buffer for unexpected cash needs.

Quick Ratio / Acid Test trending

April 2024: 0.65 (748,712,376.73 / 1,129,984,168.41)

May 2024: 0.54 (494,555,108.86 / 910,113,204.75)

Alert: Quick ratio declined from 0.65 to 0.54, indicating reduced immediate liquidity. The company relies heavily on inventory to meet current obligations.

Working Capital adequacy analysis

April 2024: ₹184,481,139.92 positive working capital

May 2024: ₹137,986,210.77 positive working capital

Analysis: Working capital decreased by 25% month-over-month, primarily due to reduction in accounts receivable and inventory levels.

Cash position and runway analysis

April 2024: Cash & Bank balances: ₹219,630,140.50

May 2024: Cash & Bank balances: ₹217,143,682.86

Cash position remained stable with minimal decrease. Current cash covers approximately 24% of current liabilities.

Net Working Capital changes and drivers

Key Drivers: Significant reduction in accounts receivable (₹240M decrease) and inventory (₹25M decrease) were the primary drivers of working capital reduction. Other current liabilities also decreased by ₹220M.

Liquidity coverage ratio

April 2024: 0.66 (Quick assets / Current liabilities)

May 2024: 0.54 (Quick assets / Current liabilities)

Concern: Liquidity coverage declined significantly, indicating reduced ability to cover immediate obligations without selling inventory.

Cash conversion efficiency

Data unavailable - Requires cash flow statement data for accurate calculation

2. Leverage & Solvency Analysis

Debt-to-Equity ratio trending

April 2024: 8.35 (1,648,154,985.84 / 197,390,845.42)

May 2024: 6.84 (1,375,785,890.96 / 201,265,389.74)

Improvement: Debt-to-equity ratio improved significantly from 8.35 to 6.84, indicating better capital structure and reduced financial risk.

Debt-to-Capital ratio analysis

April 2024: 89.3% (1,648,154,985.84 / 1,845,545,831.26)

May 2024: 87.2% (1,375,785,890.96 / 1,577,051,280.70)

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High debt-to-capital ratio indicates heavy reliance on debt financing, though showing slight improvement.

Total Debt composition (secured vs unsecured)

April 2024: Secured: 79.5% (₹411,966,783.94), Unsecured: 20.5% (₹106,204,033.49)

May 2024: Secured: 77.2% (₹359,612,195.72), Unsecured: 22.8% (₹106,060,490.49)

Debt composition remains relatively stable with secured debt dominating the borrowing structure.

Debt maturity profile

Long-term vs Short-term: Long-term debt constitutes 25-34% of total liabilities, while current liabilities dominate at 66-69% of total liabilities.

Interest coverage ratio

Data unavailable - Requires income statement data for calculation

Debt service coverage ratio

Data unavailable - Requires cash flow and interest expense data

Fixed charge coverage ratio

Data unavailable - Requires detailed fixed charge and income data

Solvency stress testing

Analysis: High current liabilities relative to quick assets creates vulnerability. A 20% decline in current assets would severely impact liquidity position.

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3. Asset Efficiency Analysis

Asset Turnover ratios (total, fixed, current)

Data unavailable - Requires revenue data for turnover calculations

Fixed Asset utilization trends

Fixed Assets: ₹396,417,259.28 (April) → ₹394,288,601.53 (May)

Minimal change in fixed assets, suggesting stable asset base with minor disposals or depreciation.

Asset age & depreciation analysis

Data unavailable - Requires detailed fixed asset schedule and depreciation data

Capital intensity metrics

Fixed Assets to Total Assets: 21.5% (April) → 25.0% (May)

Increasing capital intensity suggests higher investment in fixed assets relative to total asset base.

Asset productivity per rupee invested

Data unavailable - Requires revenue and profit data

Non-current vs current asset mix

April 2024: Non-current: 28.8%, Current: 71.2%

May 2024: Non-current: 33.5%, Current: 66.5%

Shift toward non-current assets indicates potential long-term investment strategy.

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Asset quality indicators

Positive: No significant negative balances in asset accounts. **Concern:** High inventory levels (34-52% of current assets) may indicate slow-moving stock.

4. Capital Structure Analysis

Equity composition and changes

April 2024: Equity Share Capital: ₹117,591,396.55 (59.6%), Current Year Profit: ₹79,799,448.87 (40.4%)

May 2024: Equity Share Capital: ₹116,348,728.43 (57.8%), Reserve & Surplus: ₹79,799,448.87 (39.7%), Current Year Profit: ₹5,117,212.44 (2.5%)

Significant restructuring of equity with profits moved to reserves and minimal current profit retention.

Reserves & Surplus movements

Major Change: Reserves & Surplus increased from ₹0 to ₹79,799,448.87, indicating profit capitalization from current year earnings.

Retained earnings patterns

Current Year Profit: Decreased from ₹79,799,448.87 to ₹5,117,212.44, suggesting significant profit distribution or transfer to reserves.

Capital adequacy metrics

Equity to Total Assets: 10.7% (April) → 12.8% (May)

Improving capital adequacy with equity contributing more to total financing.

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Optimal capital structure comparison

Current Structure: Heavy debt reliance (87-89% debt financing). **Recommendation:** Consider equity infusion to reduce financial risk and interest burden.

Cost of capital analysis

Data unavailable - Requires detailed interest expense and equity return data

5. Balance Sheet Quality Metrics

Asset-to-Liability ratios

April 2024: 1.12 (1,845,545,831.26 / 1,648,154,985.84)

May 2024: 1.15 (1,577,051,280.70 / 1,375,785,890.96)

Improving asset coverage of liabilities indicates strengthening balance sheet quality.

Equity multiplier

April 2024: 9.35 (1,845,545,831.26 / 197,390,845.42)

May 2024: 7.84 (1,577,051,280.70 / 201,265,389.74)

Significant improvement in equity multiplier, indicating reduced financial leverage.

Financial leverage index

Data unavailable - Requires return on equity and return on assets data

Balance sheet strength score

Assessment: Moderate strength. Positive factors include improving debt ratios and stable cash position. Negative factors include high current liabilities and low quick ratio.

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Red flags identification

- **High Debt Levels:** Debt-to-equity ratio above 6x indicates excessive leverage
- **Low Quick Ratio:** 0.54 quick ratio suggests liquidity concerns
- **Negative Accounts Payable:** May 2024 shows negative accounts payable, requiring investigation
- **High Inventory:** Inventory constitutes 34-52% of current assets, potential obsolescence risk
- **Current Liabilities Dominance:** 66-69% of total liabilities are current, creating refinancing pressure